allowance made by the typical holding company will be found excessive, and in fact it is more likely to understate the true depreciation.[15]

In the writers' opinion, the cavalier omission of depreciation charges in the statement of earnings applicable to bond interest comes perilously close to outright misrepresentation of the facts.[16] A device fully as misleading is illustrated by the offering in 1924 of Cities Service Power and Light Company 6s, due in 1944. In this case, the indenture was so drawn as to require a minimum charge for depreciation and maintenance amounting to much less than the sums actually expended and reserved by the various operating subsidiaries. In the bond prospectus the earnings were stated after deductions for depreciation "assumed at rates in the Indenture securing these bonds," which in plain language meant that the true depreciation was greatly understated in calculating the margin of safety behind the bond issue.[17] This piece of financing is commented on further below.

Recommended Procedure. It is emphatically recommended that the intending purchaser of a public-utility bond issue make sure that a normal depreciation charge has been deducted from earnings, before he accepts the reported statement of interest coverage. Based upon the reports of many such companies, it would seem that an allowance amounting to less than 10% of gross may be viewed with suspicion as probably inadequate. In fact, the conservatively minded might be justified in applying a minimum figure of 12% of gross. Depreciation actually accrues, of course, as a percentage of the property account and not of the

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[15] See the pungent comments on this head by William Z. Ripley, *Main Street and Wall Street*, pp. 172–175 and 333–336, especially the latter, Boston, 1927. See also Chap. 35 of the text for a further discussion of utility depreciation charges.

[16] This pernicious practice is encouraged, however, by the loosely drawn provisions governing investments by saving banks in public-utility bonds in various states, which apply the earnings test before deducting depreciation. In Vermont, for example, depreciation is deducted in determining the net income of telephone companies, but not in the case of gas, electric, water, and traction companies. See Appendix Note 26 for comments by various committees of the Investment Bankers Association of America with respect to the manner of handling depreciation charges in bond circulars.

[17] This company and others, once using the indenture basis of charging depreciation in their bond-offering circulars and even their annual reports, have nearly all given up that objectionable policy. However, the prospectus of Alabama Gas Company, dated Sept. 15, 1936, calculates the provision for retirements on the indenture basis.